Strategic Management

Case: Reliance Industries (RIL): Building Execution Excellence in an Emerging Market

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SECTION 2

COURSE – STRATEGIC MANAGEMENT

I am an MBA student analysing two Strategic Management cases. I use Company Y for the Indian industrial company and Company Q for the enterprise software company. These are dummy names. Do not identify the companies or their executives, search for them, or use outside information.

The Company Y case ends in January 2018. Work only with my summary and interpretations below.

I need to answer two questions:

a) Explain Company Y's strategy

b) How should Company Y's core competency be defined, and how is it different from Company Q core competency?

Case context

Company Y began in 1958 as a small trading business financed with borrowed money. Founder F moved into textiles because he wanted control over product quality and supply. The company then integrated backward into polyester yarn, chemicals, petrochemicals, and refining.

Company Y reinvested earnings in capacity and technology. Its first spinning mill cost roughly one tenth as much as a comparable mill acquired by a major competitor. Sales doubled approximately every two years during the 1970s.

When private companies were allowed to manufacture polyester filament yarn around 1980, Company Y secured a licence and built Project P. Chair M, then 24, recruited qualified managers and required direct communication among employees and contractors. Some suppliers won contracts despite quoting two or three times the lowest bid because Company Y trusted their execution record.

Project P was completed in 18 months. Management treated delay as an economic cost. It assigned each task as many resources as the task could productively absorb.

The next raw-material project ran one year late during a financing controversy, regulatory investigation, and Founder F's illness. Operating profit fell by 80% between 1985 and 1986. This is an important exception because Company Y's execution system did not work automatically.

Company Y later built Refinery Complex J. The first refinery entered service in 1999 after three years. It could process about 80 types of crude oil, including discounted heavy crude. Integration with petrochemicals allowed intermediate outputs to become feedstock or fuel elsewhere in the complex.

The second refinery was completed in 36 months, compared with a stated global range of 60 to 80 months. Its estimated construction cost was about half that of an equivalent refinery. Capital cost adjusted for refining complexity was reported as $665 per complexity barrel per day, compared with a global average of $2,600. The first refinery operated at approximately 98.5% capacity, compared with an Asia-Pacific average of 83.5%.

Company Y ordered $3.5 billion of materials before engineering was complete when it expected shortages. It also trained thousands of skilled workers internally. Its operating method included detailed task division, early procurement, supplier coordination, technical learning, standard operating procedures, and rapid escalation.

The company also benefited from access to capital, concentrated decision authority, domestic supplier networks, and government relationships. Some financing and accounting practices attracted investigation. Family members and trusted associates remained close to senior authority.

The upstream gas record was mixed. A major field was commercialized in slightly more than six years, compared with a stated global range of nine to ten years. Production later fell from about 60 million standard cubic metres per day in 2010 to 7.8 million in 2017. Management blamed reservoir complexity, while the government disputed costs and production behaviour.

Company Y struggled to reproduce its domestic success internationally. A European manufacturing acquisition was sold after five years because of its cost structure, and no overseas project matched Complex J.

In late 2016, Company Y entered telecommunications through Digital Co.. It attracted about 130 million customers within one year, but approximately $30 billion had already been invested and returns remained uncertain.

The exhibits show some financial strain. Between 2013 and 2017, revenue fell from about $73.0 billion to $48.6 billion, although gross margin rose from 15.24% to 32.57%. Assets increased from $66.6 billion to $109.0 billion, while liabilities rose from $33.0 billion to $67.9 billion. Cash fell from $9.28 billion to $0.47 billion, and the current ratio declined from 1.62 to 0.62.

Company Q context

Company Q develops enterprise software that connects fragmented customer data and supports operational decisions. Its forward-deployed engineers work directly with customers. They begin with a real operating problem, connect the required data, and build software around the decisions the customer needs to make.

When the same problem appears across customers, Company Q turns the repeated solution into a reusable platform function. Its software also controls data access, records where information came from, and keeps an audit trail of user actions.

My answer to (a) part

I see Company Y's strategy as a connected system built around control, scale, flexibility, and speed.

Backward integration reduced dependence on suppliers and gave Company Y greater control over quality, feedstocks, costs, and production schedules. World-scale plants and advanced technology supported low unit costs. Flexible facilities allowed the company to change inputs and output when market prices moved.

Execution was part of the strategy. Company Y selected contractors for reliability, committed capital early, trained workers internally, and treated earlier production as an economic benefit. Its government relationships, financing capacity, and concentrated authority also helped it move quickly, although they created governance and regulatory risks.

The moves into upstream gas and Digital Co. represent corporate diversification. I am less certain that the same strategy fits these businesses. Reservoir geology cannot be controlled like refinery construction, while telecommunications depend on customer retention, software, pricing, and service quality after the network has been built.

My answer to (b)

I would define Company Y's core competency as its ability to execute large, capital-intensive projects quickly and at low cost by coordinating technology, capital, suppliers, labour, and physical operations.

Scale and vertical integration are strategic choices, not competencies by themselves. The competency lies in the routines that make those choices work: task decomposition, resource saturation, early procurement, technical learning, contractor coordination, and codified operating procedures.

This competency works best when managers can specify the work and additional resources can reduce delay. Its value is less certain when the main problem is geology, foreign institutions, or customer behaviour.

Company Q's competency is different. It embeds engineers inside customer problems, connects fragmented data, converts that data into operational decisions, and turns repeated field solutions into reusable software.

Company Y scales industrial execution. Company Q scales software-supported decision making. Company Y commits capital and physical resources early. Company Q commits scarce technical talent early and expects the economics to improve as customers expand their use.

Both companies learn by working inside difficult operating environments and codify what they learn. I may still be understating the differences. Company Y's success may depend partly on Indian institutions and labour conditions, while Company Q's competency may include customer trust, data permissions, and governance, not just software engineering.

Your task

Critically evaluate my context and both answers from the perspectives of corporate strategy, competitive strategy.

In your first response, identify important facts I have omitted, choices I have confused with capabilities, and assumptions that could change my conclusions. Ask probing questions and stop. Do not provide final answers.

I will answer those questions in the second iteration. After reviewing my response, ask more questions and stop again.

Provide the completed evaluation only in the third iteration. State what survives, what requires qualification, and what I initially misunderstood.

Use no more than three iterations. Do not praise my work, identify the companies, use outside information, or write a ready-made submission before the third iteration. Keep your answers short and don’t provide unnecessary information.

First Iteration: Gaps, Confusions, and Probing Questions

Facts you have omitted or underweighted

On Company Y's strategy:

- You describe execution as "part of the strategy" but then list it separately from the strategic choices. This creates an analytical tension: if execution is what makes the strategy work, is it a strategic choice, a capability, or both? You have not resolved this.
- You note that the 1985–86 failure "did not work automatically" but draw no strategic conclusion from it. What does that exception tell you about the conditions under which the strategy holds?
- The financial deterioration (revenue down ~34%, cash down ~95%, current ratio below 1.0 by 2017) is mentioned but not integrated into your strategic assessment. Is this evidence of strategy execution, strategy failure, or strategy change?

On the core competency comparison:

- You define Company Y's competency as project execution but then acknowledge it may be institution-dependent. If the competency requires a specific regulatory environment, domestic supplier network, and concentrated family authority, is it genuinely a firm-level competency or a bundle that includes context?
- You note that Company Q converts field solutions into reusable platform functions. You have not asked whether Company Y does the same — whether its operating procedures constitute a codified, transferable system or are embedded in people and relationships.

Choices you may have confused with capabilities

You say "scale and vertical integration are strategic choices, not competencies." This is correct, but you then define the competency as the routines that make those choices work. The question you have not addressed: **are those routines durable and**

hard to imitate, or are they accessible to any well-capitalised firm with strong governance?

Probing questions

1. The second refinery was completed in 36 months at roughly half the cost of comparable projects. What is your explanation for *why* Company Y could do this when others could not? Is your answer the same as your competency definition, or does it add something?
2. Company Y failed in Europe and struggled in upstream gas. By your own competency definition, both should have been addressable through task decomposition and resource saturation. Why weren't they? What does this tell you about the boundary of the competency?
3. You say Company Q "commits scarce technical talent early." Is that a competency or a resource? What is the *organisational routine* that makes Company Q's approach hard to imitate?

Response –

Q is - Why could Company Y complete the second refinery in 36 months at roughly half the comparable cost?

Case evidence:

Company Y divided the project into detailed tasks, selected contractors for execution reliability, and committed capital before engineering was complete. It ordered $3.5 billion of materials early when it expected shortages. It also trained thousands of workers instead of waiting for the labour market to supply them.

The refinery was an "intelligent repeat" of an earlier project. Company Y could reuse knowledge, supplier relationships, operating procedures, and engineers trained through previous projects. The integrated site also reduced the need to build every supporting activity separately.

My inference: The advantage came from a connected execution system, not one isolated practice. Company Y accepted higher early costs and greater commitment risk to avoid delay later. Many competitors may have optimized individual contracts or waited for engineering certainty, while Company Y optimized the completion of the whole project.

Capital access and concentrated authority also mattered. They allowed management to place large orders quickly. I would therefore refine my competency definition. The competency is the ability to coordinate complex industrial projects as one system and convert previous project knowledge into faster execution.

Capital, government access, and domestic labour conditions supported that competency, but they were not the competency itself.

Q2 was - Why did the same competency fail in Europe and upstream gas?

I do not think it failed in exactly the same way.

In upstream gas, the development capability transferred partly. Company Y commercialized the field in slightly more than six years, compared with the stated global range of nine to ten years. The later production decline was a lifecycle problem. More workers, faster procurement, and tighter contractor coordination could not remove uncertainty about the reservoir.

The European acquisition was different again. Company Y acquired an existing operation under a foreign labour and regulatory system. It had less freedom to redesign the cost structure, build a workforce around its preferred model, or use the domestic institutional relationships that supported its Indian projects.

This gives the competency a clearer boundary. It is strongest when Company Y can design the asset, specify the interfaces, control suppliers and labour, and earn measurable value from earlier completion. It weakens when geology, inherited costs, regulation, or unfamiliar institutions dominate the result.

The PTA delay also shows that the domestic model was not automatic. Financing problems, regulatory investigation, and the founder's illness disrupted execution. The competency still depended on capital, authority, and institutional stability.

Q3. Is Company Q's technical talent a resource or a competency?

The forward-deployed engineers are a resource. Hiring skilled engineers alone would not reproduce Company Q's advantage.

The competency is the organisational routine surrounding them. The engineers begin with a customer's operating problem, connect the relevant data, and build software around the decisions the customer needs to make. When similar problems appear across customers, Company Q converts that field learning into reusable platform functions.

This creates a loop between customer deployment and product development. Field teams learn from specific situations, product teams codify repeated solutions, and later customers receive a stronger platform.

The routine is difficult to copy because it depends on accumulated customer knowledge, coordination between field and product teams, software architecture, and trust around sensitive data. Access controls, data provenance, and audit trails help customers permit Company Q's engineers to work with information they may not share with an ordinary software vendor.

My revised comparison is therefore more precise. Company Y turns repeated industrial-project experience into operating procedures and physical execution. Company Q turns repeated customer problems into reusable software. Both rely on

codifying experience, but the knowledge, resources, and conditions supporting each competency are different.

Second Iteration: Sharper Questions Before Final Evaluation

Your answers have improved the analysis in three ways: the "intelligent repeat" framing is well-evidenced, the competency boundary is now more honest, and the Company Q loop between field deployment and platform development is clearer.

But three unresolved tensions remain.

On the "intelligent repeat" argument:

You say the second refinery benefited from reused knowledge, relationships, and engineers. But the case also notes that the first refinery took three years and the second took 36 months — roughly the same figure. The dramatic cost difference ($665 versus $2,600 per complexity barrel) is not fully explained by speed alone.

Question 1: Is the cost advantage primarily from speed, from procurement strategy, from site integration, or from something else? If you cannot separate these, does that weaken or strengthen your competency definition?

On the competency boundary:

You now say the competency weakens when "geology, inherited costs, regulation, or unfamiliar institutions dominate." That is a useful negative boundary. But the Digital Co. entry is still unresolved in your analysis. Telecommunications infrastructure can be specified, procured, and built. Company Y attracted 130 million customers quickly.

Question 2: By your own boundary definition, should Digital Co. have been within the competency's range? If yes, why does the financial strain suggest otherwise? If no, what specifically disqualifies it — and does that force you to revise the boundary?

On Company Q's loop:

You describe a field-to-platform loop but have not addressed sustainability. Other software firms also deploy engineers with customers and build platforms from repeated problems.

Question 3: What specifically makes Company Q's loop hard to imitate — is it the data governance architecture, accumulated customer relationships, the organisational coordination between field and product, or something else? And does your answer

apply equally to Company Y's codification of project knowledge, or are they structurally different types of learning?

My responses -

1. I do not think speed is the main explanation for the second refinery's cost advantage. The first refinery took about three years and the second took 36 months, so the difference between $665 and $2,600 per complexity barrel must come from more than construction time.

The case points to a combination of factors. Company Y reused site infrastructure, engineering knowledge, supplier relationships and experienced teams. It also ordered major equipment before engineering was complete, trained large numbers of specialised workers and coordinated the project across several locations. Site integration probably reduced duplication and allowed the two refineries to share facilities and operating systems.

The case does not provide enough evidence to assign percentage of the savings to each factor. That weakens any claim that procurement or speed alone was the competency. It strengthens a broader definition: Company Y's competency was orchestrating capital, engineering, procurement, labour and relationships as one coordinated project system. Speed and low cost were outcomes of that system.

2. Digital Co. was within the competency's range, but only partly. Building a telecommunications network is a large, divisible project. It involves specifications, procurement, construction and a tightly managed launch. Company Y's ability to attract 130 million customers quickly also suggests that its execution routines transferred beyond refining.

The financial strain does not automatically mean the execution capability failed. Company Y may have executed the network rollout successfully while still facing weak returns because of heavy investment, low introductory prices and uncertain monetisation. Customer acquisition is not the same as creating profitable customers.

I would therefore revise the competency boundary. It is not simply strong in manufacturing and weak in unfamiliar industries. It is strongest during the building, scaling and launch stages of a business. It becomes less reliable when success depends on continuous customer behaviour, pricing, software development and changing market conditions. Digital Co. shows that excellent project execution can create a platform quickly without guaranteeing that the platform will earn an adequate return.

3. Company Q's field engineers are a scarce resource, but the engineers alone are not the competency. The harder part to copy is the organisational routine connecting field deployment with platform development. Engineers solve a customer's operational problem, identify patterns that may apply elsewhere and feed those patterns into

reusable platform functions. The platform’s permissions, audit trails and data governance make this reuse possible in sensitive customer environments.

Competitors could copy individual elements of this model. They could hire technical staff, place them with customers or develop similar governance features. What is harder to reproduce is the complete system: trusted customer access, accumulated implementation knowledge, coordination between field and product teams, and a platform designed to absorb repeated solutions. The case supports this bundle as a plausible competency, although it does not prove that competitors cannot imitate it.

Both companies learn through repetition, but they learn in structurally different ways. Company Y’s learning is mainly project to project. It is stored in experienced people, supplier relationships, operating procedures and knowledge of physical sites. The feedback cycle is slower and remains sensitive to local institutions and infrastructure.

Company Q’s learning is customer to platform. A solution discovered in one deployment can become software that is reused across many customers at relatively low additional cost. Its learning is more continuous and digitally transferable. Company Y codifies how to execute another large physical project. Company Q codifies how to solve a recurring decision problem inside its product.

Third Iteration: Final Evaluation

What survives

Company Y's strategy framing holds. Backward integration, world-scale plants, flexible facilities, and execution capability form a connected system. Your revision — that speed and low cost are *outcomes* of an orchestration system rather than the competency itself — is the strongest analytical move you made across the three iterations. It avoids the error of defining the competency by its results.

The competency boundary revision also survives. "Strongest during building, scaling, and launch; weaker when success depends on continuous customer behaviour and market conditions" is more precise and more honest than the original manufacturing-versus-unfamiliar-industries framing. The DigitalCo reinterpretation — execution may have succeeded while returns remain uncertain for structural reasons — is defensible and better supported by the financial data than your original treatment.

The Company Q loop survives with one qualification noted below. The field-to-platform structure, the governance layer enabling sensitive data access, and the distinction between a resource (engineers) and a routine (the coordination system) are all analytically sound.

The structural comparison — project-to-project learning stored in people and procedures versus customer-to-platform learning stored in reusable software — is your sharpest comparative insight and should be the centrepiece of your answer to (b).

What requires qualification

The cost advantage analysis. You correctly conclude that the $665 versus $2,600 difference cannot be attributed to any single factor, and you use that honestly to support a broader competency definition. However, you should acknowledge that the case evidence does not allow you to rule out that some portion of the advantage came from Indian labour costs, regulatory conditions, or land and infrastructure that were specific to the domestic context. The competency may be partly bundled with context in a way that limits its transferability — which is consistent with the European failure but sits in some tension with your DigitalCo argument.

The 1985–86 failure. You noted it in your original answer and used it correctly to show the system was not automatic. But you have still not fully integrated it into your competency definition. If the competency depends on capital availability, concentrated authority, and institutional stability — and those failed once — then the competency carries a fragility condition that should appear explicitly in your definition, not only in the boundary discussion.

Company Q's imitability. You correctly noted that the case does not prove competitors cannot imitate the bundle. This caveat should remain visible in your final answer. A competency argument is only as strong as the barriers to imitation, and the case provides suggestive rather than conclusive evidence on that point.

What you initially misunderstood or understated

The financial deterioration. In your original answer it appeared as background. By the end you had still not fully explained it strategically. Revenue fell roughly 34% between 2013 and 2017, cash fell approximately 95%, and the current ratio dropped below 1.0. This is not consistent with a strategy performing as designed. You should either argue that the strategy was sound but the environment changed (commodity prices, gas reservoir problems, DigitalCo investment cycle), or acknowledge that the strategy created structural financial risk that the exhibits are now reflecting. Leaving it unresolved weakens the overall strategic assessment.

The distinction between strategic choices and enabling conditions. You correctly separated choices from competencies. You were slower to separate the competency from the conditions that made it possible — domestic institutions, family authority, government relationships, access to capital. By the third iteration you had moved toward this, but it should be stated explicitly: the competency as defined may not be fully portable, and the international record is the evidence for that claim.

The comparison anchor. Your original answer to (b) compared the two companies at a high level. By the final iteration you had a structurally precise comparison: project-to-project versus customer-to-platform learning, physical codification versus digital codification, capital-intensive commitment versus talent-intensive commitment. That progression represents the most substantive development across the three iterations and is where your answer to (b) is now strongest.

Final Answers –

Q - Explain Company Y's strategy

Company Y's strategy was to create an integrated industrial system rather than compete through a single product or business.

It moved backward into important inputs, built plants at world scale and designed flexible facilities capable of processing different raw materials. It also brought refining, petrochemicals, power and port infrastructure together at one site. These choices gave Company Y more control over costs and allowed it to benefit from cheaper inputs.

Execution made the strategy workable. Company Y ordered equipment before engineering was complete, trained thousands of specialised workers and coordinated suppliers and engineers across a complex project. Its second refinery cost about $665/complexity barrel compared with a reported global average of $2,600.

This cost advantage did not come from speed alone because both refineries took about three years. Reused infrastructure, procurement choices, experienced teams and supplier relationships probably contributed together. Domestic labour costs and regulatory conditions may also have helped, although the case does not separate their effects.

Company Y later applied part of this approach to Digital & Co. Building the network and acquiring 130 million customers quickly matched its strength in construction, scaling and launch. However, customer acquisition did not guarantee profitability. Pricing, retention and monetisation became more important after launch.

The financial exhibits also qualify the strategy's success. Between 2013 and 2017, revenue fell by roughly 34%, cash declined by approximately 95% and the current ratio dropped below 1.0. This suggests that the strategy was operationally strong but financially exposed. Large investments created cost advantages, but they also tied up capital and created pressure when returns were delayed.

Q - Company Y's core competency and how it differs from Company Q

I would define Company Y's core competency as its ability to coordinate capital, engineering, procurement, labour and external relationships to build and scale complex physical systems. Speed and low cost are results of this competency.

The competency has limits. The 1985-86 failure suggests that it depended on access to capital, concentrated decision authority and institutional stability. Company Y's difficulties in Europe and upstream gas also show that the capability was not fully portable. It became weaker when unfamiliar institutions, inherited costs or geological uncertainty dominated the problem.

Company Q's competency is different. Its engineers are an important resource, but its deeper capability is the routine connecting customer deployment with platform

development. Engineers solve problems inside customer organisations, identify repeated patterns and convert those solutions into reusable software. Data permissions, audit trails and governance allow this process to work with sensitive information.

The clearest difference is how the companies store learning. Company Y learns project to project. Its knowledge is held in experienced people, supplier relationships, procedures and physical infrastructure. Each repetition still requires substantial capital and remains affected by location.

Company Q learns customer to platform. Knowledge developed during one deployment can become software used across several customers at a relatively low additional cost. Company Y codifies how to execute another large physical project. Company Q codifies recurring customer problems inside a digital platform.

Company Q's capability should still be qualified. Competitors can hire technical talent, embed engineers with customers and develop similar governance features. The case suggests that Company Q's complete system may be difficult to copy, but it does not prove that the system is permanently inimitable.